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F.A.O. The Court
C/o Mr S Perks

DIMINUTION REPORT

Dear Sirs

Re: Accident Date: : Audi Rs E-tron Gt (YA21GXE)

In accordance with your instructions received in our offices on the 26/02/2025 asking us to provide a diminution in value report we have now considered the below documentation and enclose our findings as follows:

- Instruction received from Auto Claims Assist Ltd.
- Audatex estimate from Gillibrand Accident Repair Centre.
- Images from Gillibrand Accident Repair Centre.
- Glass Guide - November 2024.

Vehicle Details

Make	Audi	Registration	YA21GXE
Model	Rs E-tron Gt	Driven Axle	All - Permanent
Sub-Model	Rs Gt	Colour	RED
VIN	WAUZZZFW3N7901405	Fuel Type	ELECTRICITY
Date of Registration	30/07/2021	Mileage	25235
Exact C.C.		Condition	GOOD
Gearbox	Automatic	Engine Number	
Impact Area	Nearside	Repair Costs	23422.33

Considerations

This report is to provide an expert opinion on whether the vehicles value would have altered once the repairs are completed, considering that it has sustained accident damage, even after repairs, this damage could discourage potential buyers or, at the very least, give them grounds to negotiate a lower selling price.

This is not a controversial proposition given that, wherever there has been a loss, the principle of restitutio in integrum entitles the Claimant to be placed in the position they would have been, had the tort had not been committed.

We understand that the Court of Appeal has recognised this kind of diminution in value as a valid head of damage in a claim following a road traffic accident (Payton V Brooks [1974] 1 Lloyd's Rep, 241), and more recently confirmed by Mr Justice Tudor Price in a High Court case sitting in Manchester (Woods V Parkinson 1985)

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Some say that a Claim for diminution is only possible if an accident damaged vehicle is inspected post repair by an engineer. This has been highlighted in the cases of Schnitzer Vs Lyons (2001, CL 01/1541) and Good V De Klee (Lawtel 30.08.07) where the claimants have been unable to recover a claim for diminution as the vehicles were not inspected post repair.

It has been said that the inspection confirms the vehicle has been repaired to an acceptable standard and that there is a justifiable basis for the figure being claimed.

We agree to an extent that a post repair inspection with the use of an electromagnetic paint depth gauge will highlight the level of body filler and quality of paint finish along with a trained eye being able to visibly inspect the use of seam sealer and corrosion protection. However, if we accept the vehicle will be repaired to a satisfactory standard, any rectification costs in the poor repair will be the responsibility of the repairer and not that of the Third-party insurer.

In terms of justifying a measurable loss there is no fixed formula for calculating diminution, just in the same way there is no fixed formula when valuing general damages for suffering or pain inflicted on an individual. It is therefore down to the expert in this area to compile a measured opinion as to the loss. As an expert we must consider factors such as make / model, age, mileage, condition, type of damage and desirability to a prospective purchaser, albeit every case differs.

Within this report the main consideration must be the type of damage. A vehicle which has suffered superficial damage will still attract a level of diminution, however it will not attract the same level as a vehicle which has suffered structural damage at the same cost. Similarly, a vehicle suffering body shell or chassis repair will have a more significant impact on the post repair value compared to repairs to the outer body panels. Additionally, heavily repaired panels will have a greater influence than a panel which is replaced.

The cost of repairs cannot be used as a level of diminution as it would need to be confirmed as to what is a reasonable level repair costs. It was emphasized in Coles v Hetheron (2013) that the direct loss is the diminution in value of the vehicle not the cost of repairing the vehicle back to its pre-accident condition.

The diminution in value occurred at the moment of the incident damage and not later, it was immediate. In Coles v Hetheron, Aitkin LJ addressed the problem as events occurring after the date of damage are irrelevant: "(1) where a chattel is damaged by the negligence of another that loss (the "direct" loss) is suffered as soon as the chattel is damaged. (2) The proper measure of that loss is the diminution in value that the chattel has suffered because of the negligence of the defendant.

This follows the general principle in awarding damages, i.e., that of restitution. (3) Events occurring after the infliction of the damage are irrelevant to calculating the diminution in value measure of damages. Thus, subsequent destruction of the chattel, or a decision to delay repairs, or an ability to have the repairs done at less than cost or for nothing will not prevent the claimant from recovering the diminution in value of the chattel that has been caused by the negligence of the tortfeasor."

This argument is supported in Hunter v Thomson and another (2004 Scot (D) 9/1) where the Sheriff Principal rejected the defendant's insurers' argument that the court could not be satisfied on the balance of probabilities that there was any diminution unless and until the car had been sold on at a loss. We would also offer the opinion that this loss was suffered at the time of the accident rather than at the point of sale in the future, in much the same way that we, or an insurer will ask for betterment, where applicable, immediately following completion of repairs.

In this regard, we draw your attention to the case of Warwick Motor Auctions v Bennett [1996] C.L.Y. 1815 which found that assessment of the effect on the value of the vehicle should take place at the date of the accident, since it was at that time that it became an accident damaged vehicle.

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We also draw your attention to the case of Smith v Linser [2001] C.L.Y. 1543, which found that notwithstanding that the vehicle may be repaired to a commercially acceptable standard, a psychological prejudice exists towards cars involved in accidents so that, if a prospective purchaser was presented with two identical cars on a garage forecourt, one having been subject to an accident and subsequently repaired and the other not having been in an accident, the prospective purchaser was more likely than not to choose the latter despite the fact that, structurally, there would be nothing between them.

It is further the case that regardless of how well repairs were carried out after a road traffic accident, the end result is a vehicle will have lost value because the psychological reaction of a prospective purchaser was sufficiently real to reduce the value of a repaired car.

It must also be stated that diminution does not solely apply to prestige vehicles, if a prospective buyer was shown a large production mid-range family car which was accident damaged and subsequently repaired it may deter the sale as they would have a greater choice of vehicles un-damaged to choose from, that is unless they had a reduction in value.

We would suggest that the considered accident damaged and subsequently repaired vehicle would have some market, albeit often limited to a motor trader. If your client's vehicle is subsequently repaired and sold to a recognized dealer who has specifically deducted a reasonable amount to allow for its history, then this is the amount to be claimed.

The quantum involved is naturally directly proportional to the trade in value of the vehicle, the magnitude of repairs carried out, and the type of repairs.

Repair Analysis

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Following an incident on 01/11/2024, the subject vehicle sustained a moderate impact, resulting in significant structural and cosmetic damage. The primary areas affected were the nearside front and rear doors, the B-pillar reinforcer, the door frame, and associated components, necessitating their replacement. Additionally, repairs were required to the outer sill panel, further evidencing the extent of the structural impact.

Due to the severity of the damage, substantial repair work was required, including:

- Full replacement of the nearside front and rear doors, impacting the vehicle's structural integrity and safety framework.
- B-pillar reinforcer replacement, a critical component of the vehicle's safety cell, which suggests a substantial force was sustained.
- Repairs to the outer sill panel, reinforcing the structural impact of the incident.
- Extensive panel realignment and adjustment, ensuring correct fitment and structural conformity.

The replacement and repair of these elements required dismantling, precise reinstallation, and recalibration of safety-critical components.

The vehicle's specialist paint type further exacerbates the repair complexity. The damage was not limited to isolated panel replacement but necessitated adjacent panel blending to maintain a uniform finish. As a result:

- A large proportion of the vehicle underwent refinishing, extending beyond the immediately affected panels.
- The increased paintwork scope raises concerns about long-term colour matching, potential paint degradation, and future resale concerns.
- Manufacturer paint warranty considerations may be impacted, particularly if refinishing was carried out outside an approved network.

The extent of the repairs, particularly involving structural components such as the B-pillar and outer sill, significantly influences the market value of the vehicle.

Given these factors, it is reasonable to conclude that the vehicle has suffered a notable diminution in value beyond standard cosmetic repair impact, as it has undergone extensive structural and refinishing work.

The repairs required post-incident go beyond superficial cosmetic damage, affecting structural integrity, safety-critical components, and the overall marketability of the vehicle. This level of repair directly influences its perceived desirability and residual value, substantiating a significant diminution in value claim.

Diminution

Having obtained the trade valuation within Glass's Guide, it is our expert opinion based on type of damage sustained, method of repair and the desirability of the vehicle that the diminution in value would be as follows:

Valuation Source	Glass Guide	Valuation Date	01/11/2024
Engineers Value	47790	Mileage	25235
Diminution Value	7168.50	Diminution %	15

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Declaration

I confirm that I have clearly indicated which facts and matters mentioned in this report are based on my personal knowledge and which are not. I confirm the truthfulness of the facts within my knowledge. The opinions expressed in this report represent my honest and comprehensive professional views on the matters they pertain to.

"I am aware that making a false statement in a document verified by a Statement of Truth, without a genuine belief in its truth, may result in being held in contempt of court."

We trust this meets with your requirements, but should you have any further queries, please do not hesitate to contact us either by phone or by emailing us at query@laird-assessors.com.

We appreciate your instructions and enclose our fee note for your kind attention, which we confirm remains payable irrespective of the outcome of this case. Please ensure this is passed to your accounts department.

Yours faithfully



Mrs Mckeown AMIMI, IMI VDA

engineers@laird-assessors.com